

Mark schemes

1.

A relevant explanation or definition of absolute poverty, eg in terms of a lack of access to a recognised minimum amount of resources. An example of a criterion, eg 'living on a dollar a day'. For contrasting 'absolute' with relative.

Analysis of the links:

For example:

- ownership of water resources gives a source of income and wealth to those with the property rights since the water can be traded or used in production eg in agriculture or industry
- in turn, people with more income and/or wealth are more likely to have access to water than poorer people because they have a greater ability to pay
- richer countries can afford to invest in the necessary infrastructure such as reservoirs, pipelines
- irrigation improves the land and enables countries to lift themselves out of subsistence agriculture
- access to cheap clean water reduces the cost of living and boosts real income.

Making appropriate use of diagrams, eg supply of and demand for water.

[9]

Issues and areas for discussion include

Introduction	- Definitions of - poverty (relative/ absolute) - taxes and benefits
Developing the response to the question:	- The nature, impact and success of taxes and benefits - consideration of 'progressive' taxes versus regressive (and/or direct versus indirect) 'means tested' versus 'universal' benefits - Effects of taxes and benefits on - distribution - side effects on other functions of taxation: - allocation - stabilisation - Effects of taxes and benefits on the labour market, e.g. - supply of labour - flexibility - The implications of alternative policies, e.g. - the national minimum wage - provision of universal public services - Specific arguments for and against - The narrowing of wage differentials - A more equal distribution of income - General arguments about the role of government/ consequences of leaving wage determination to market forces

[25]

5.

Explanation:

Define or describe 'poverty', e.g. by referring to absolute/ relative poverty.

- Discuss the economic effects of poverty, e.g. in terms of life-chances, e.g.
 - percentage of low income earners going to university
 - health / life expectancy
- differential impacts (e.g. gender, race, age groups)
- problems at the micro/macro interface, e.g. lower income groups, compared with high income groups, are less likely to:
 - save
 - spend
 - build up pension rights
 - and more likely to:
 - be on benefits
 - and in debt
 - and at more punitive interest rates
 - also
 - the cost of living for poorer people is arguably greater than that of higher income earners
- Discuss other relevant issues, e.g.
 - Relationships between income and wealth
 - The possibility of poverty becoming dysfunctional, causing, for example,
 - Industrial/ social strife
 - Costs on the government/ taxpayer

In terms of life chances poverty tends to be self-perpetuating. Poor people tend to come from families that were poor. Children from poor families do less well at school, reducing their chances of getting jobs that will lift them out of poverty. They also tend to be less fit and healthy, increasing the chances that they will live on welfare benefits rather than their own earning power.

[15]

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	- types of government action, eg: - fiscal / taxes, welfare, payments in kind - legislative, eg: - NMW, anti age / sex / racial discrimination - supply side policies: qualifications / life chances - ad hoc measures, eg 'supertax' on bank bonuses - general policy options, eg progressive versus regressive taxation - definitions of income, wealth, market forces
Developing the response to the question:	- consequences of market forces, eg: - positive : efficiency, adjustment between emerging and declining industries; incentives, enterprise - negative: inequality, poverty - winners and losers - trickle down - arguments for government action, eg: - imperfect labour markets - efficiency arguments, eg supply-side policy - demand side policy - the government is itself a major employer - equality and aggregate demand. - arguments against government action, eg: - government failure - trade offs between incomes and employment - costs of intervention, eg burden on the taxpayer / government debt - savings, incentives.
Evaluation	- efficiency versus equity - the fairness and justice of reliance on markets (eg costs and benefits might accrue to different people / groups / firms) - relationships between equality and wider economic / social variables (as hinted in the quotation) - do market forces widen or reduce inequality? - market failure and government failure - greater case for targeting income or wealth? Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons.

	However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and / or give economic reasons for justifying a course of action.
Also give credit for:	• reference to the UK and / or other economies • diagrams • an overall judgement on the issues raised

[25]

Issues and areas for discussion include:

Introduction	• definition of income • examples of minimum entitlements (eg minimum wage, universal benefits) • examples of 'hindrances', e.g. poor education, health, life chances; 'postcode lotteries.'
Developing the response to the question: Application	• use of theory • discussion based on information from the data related to fairness, e.g. distribution facts and figures (Extract D, lines 7-12)
Developing the response to the question: Analysis	• policies aimed at re-distribution, examples, effects, eg ◦ progressive / proportional / regressive taxes ◦ universal benefits ◦ EU social policies. • role of other policies, examples, effects, eg ◦ minimum wage ◦ anti-discrimination laws. • policies aimed at 'obstacles', examples, effects eg ◦ access to education / training ◦ social housing ◦ health care ◦ EU cohesion policies, e.g. skills training, business advice
Evaluation	• what is fairness? • conflict between policies, eg ◦ income tax: redistributive or disincentive? ◦ supply side / demand side • 'trickle down' arguments • idea of 'multiples' in public sector; appropriateness for private sector? • maximum wage idea • difficulty of defining 'fairness' • is it a question of either / or? Can different types of policies complement each other? <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

8.

For a relevant distinction e.g. absolute: in terms of a lack of access to basics / or in terms of an absolute poverty line (eg dollar a day); relative: lack of life chances or income in terms of a national average, or a percentage based poverty line.

Analysis

Examples of causes include:

Significant shortages of education and training because of a lack of teachers / schools will reduce life chances and provide a 'vicious circle' of low wages leading to low taxation receipts and low investment in education leading to a less-qualified population.

Other possible causes, e.g. ownership of land and / or other assets, e.g. housing; imperfect factor mobility; social structure / discrimination; ineffective use of taxes / transfer payments; government pricing policies, subsidies, taxes, population growth, age distribution, etc unemployment, number of adults / children in household, low wages.

Make appropriate use of diagrams, e.g. supply of and demand for labour.

[9]

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21-25 marks
4	Sound, focused analysis and some supported evaluation that - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16-20 marks
3	Some reasonable analysis but generally unsupported evaluation that - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11-15 marks

2	A fairly weak response with some understanding that - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6-10 marks
1	A very weak response that - includes little relevant knowledge and understanding of economic terminology, concepts and principles is shown - includes analysis which is, at best, very weak - includes attempted evaluation which is weak and unsupported.	1-5 marks

Relevant issues and areas for discussion include:

- the impact on youth unemployment, e.g. does having a minimum wage for young workers encourage firms to substitute older, more experienced workers?
- the significance of elasticity of demand for labour
- productivity of young workers, especially trainees and apprentices
- the cost of training young workers
- impact on skill acquisition and investment in human capital
- the significance of the level at which the minimum wage is set for apprentices and young workers
- young workers who are living at home, may not be 'in poverty'
- equity issues
- short-run versus long-run effects
- regional differences in the cost of living
- differences in regional unemployment rates
- variations in the demand for labour and the supply of labour in different regions
- regional variations in types of employment
- the role of wage differentials in a market economy, e.g. the signalling and incentive functions
- wage differentials and labour mobility
- the significance of labour market imperfections
- the relevance of the level of welfare benefits, the replacement ratio and 'voluntary' unemployment
- costs of implementing and enforcing regional differences in the minimum wage and the risks of government failure

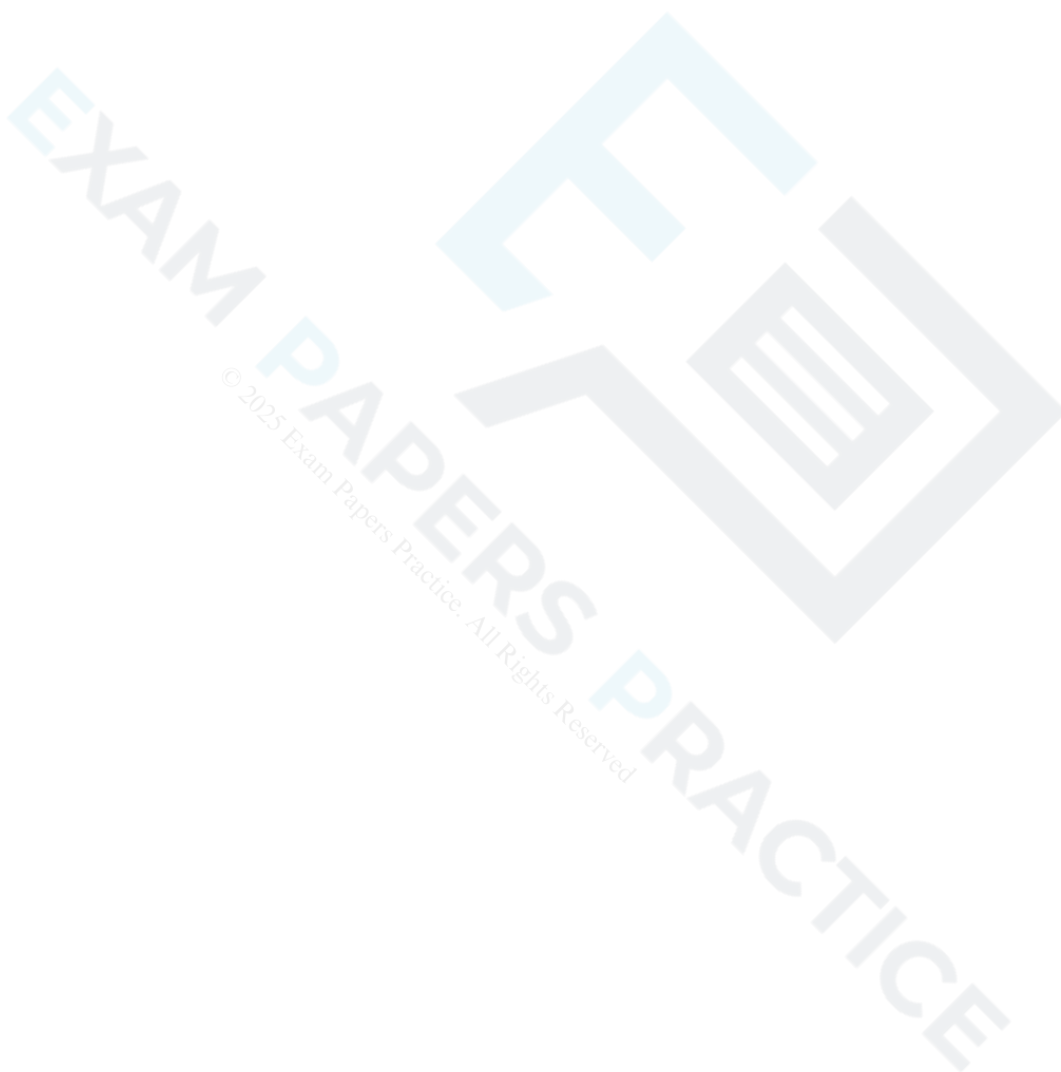
An answer that does not include any evaluation must not be awarded more than 13 marks.

Issues and areas for discussion include:

Introduction	• Meaning of a 'less equal society' • Measurement of inequality • Examples of government action resulting in inequality, eg ◦ regressive taxes ◦ reducing inheritance taxes ◦ encouraging a bonus culture ◦ removal of universal benefits ◦ raising entry barriers (eg. tuition fees) ◦ reducing the 'social wage' (reducing or slowing down increases in spending on public and merit goods) ◦ equality of opportunity/equality of outcome.
Developing the response to the question Application/ Analysis	• Benefits of inequality, eg ◦ incentive arguments ◦ trickle-down ◦ encouraging enterprise ◦ encouraging work rather than welfare ◦ impact on saving and investment • Costs of inequality, eg ◦ social cost, unrest, riots ◦ waste of talent ◦ lack of safety nets ◦ wider costs, correlations between inequality and wider economic and social issues ◦ macro effects of inequality and insecurity (synoptic points), eg ▪ downward multiplier ▪ boom and bust ▪ national income and welfare ▪ impact on output of policies to promote equality/inequality.
Evaluation	• questioning of individual alleged benefits, eg do managers receiving annual 'compensation' measured in millions really have an 'incentive' to improve efficiency? • questioning of individual alleged costs, eg is social unrest caused by inequality as such, or by unreal expectations or simple greed? • overall assessment of costs versus benefits • question of whether 'inequality' is an actual 'aim' of policy • for and against 'trickle down' ideas • impacts depend on the extent of inequality, time periods. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised • examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]



Candidates can approach the question with a focus on the UK government or government in general. Either approach can gain full marks.

Issues and areas for discussion include:

Introduction	- Definitions/descriptions of, eg - absolute poverty - relative policy - welfare benefits.
Developing the response to the question (application)	- Comments from own economic knowledge or based on the data, eg - further comments on Extract A (international comparisons) - various reasons for poverty (Extract B), eg - child poverty - working poverty - labour market failure: lack of earning power due to skills, etc - trade unions in the labour market - dependence on state benefits to subsidise low wages - poverty and pensions (Extract C) 'social costs' of inadequate pensions (Extract C) - policies of other countries (Extract C).
Developing the response to the question (analysis)	- Re-distribution (taxes and benefits) and 'pre-distribution' (education, training, skills, life chances). Note; the phrase 'pre-distribution' need not be expected - Relationships between benefits and poverty - Low wages and poverty - Examples of policies on the supply side of the labour market, eg - education and training - minimum wage/living wage 'workfare' - Example of pensions as a merit good - pensions are not a public good, but they could be treated as if they were: arguments for/against - externalities imply under supply/under consumption, and an argument for direct government provision or subsidy.
Evaluation	- Different policies for the state sector and private sector - External influences, eg life expectancy, policies to balance government budgets, high income countries and low income countries - Spending on education and training: consumption or investment? - Market failure versus government failure, eg - poor/asymmetric information - markets tend to assess what is happening now, and are not good at looking ahead - governments can look ahead, but can make incorrect assumptions, or come up with inaccurate forecasts. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- Relevant diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

14.

- **Distinguishing between equity and equality**, eg basic definitions of equity (to do with 'fairness'), equality (to do with reducing 'differentials'/increasing opportunities/affecting outcomes).
- **Vertical equity**: The treatment of people in different income and wealth positions. Taxes can be progressive proportional or regressive. Switch to VAT is likely to be regressive because, assuming a wide range of goods and services are taxed, and as a general rule consumption expenditure represents a decreasing proportion of income the actual amount of tax paid will increase with expenditure but fall as a percentage of income.
- **Horizontal equity**: The treatment of people in similar earning positions. Policy effects depend on, eg the 'universality' or otherwise of the VAT, and whether, say, 'luxury' items can be identified and taxed at higher rates.
- **Equality**, eg it could be argued that the switch will affect life chances of both the better off and less well off by increasing 'incentives', and hence affect equality through trickle-down; or that the regressive nature of the switch and the resulting inequality is economically dysfunctional and will cause further inequality; or that the effects are neutral, and wealth taxes would have greater effects on equality than tinkering with income and expenditure taxes.
- Use of diagrams to help support explanations.

[15]

16.

Relevant issues/logical chains of analysis include:

- relevant explanation of market failure, e.g. in terms of markets failing to achieve socially optimum price or output
- there is a lack of consumer information . Consumers do not know when they are likely to need a pension. They might have a high rate of time preference, i.e. prefer current consumption to saving for future consumption, because pensionable age seems a long way off
- assymetric information between consumers and pension providers (mis-selling of inappropriate pension products)
- strong externalities give pensions some characteristics of merit goods; there is an argument that they are more efficiently provided by the state
- inability of insurance-based pension providers to produce results in adverse economic conditions; e.g. falling pension fund returns due to low interest rates
- failure of occupational pension schemes due to weak regulation, the raiding of pension funds by directors during hard times
- appropriate use of diagrams, e.g. marginal private benefit, marginal social benefit

[9]

Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11-15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6-10 marks
1	A weak response provides an answer that: - has one or more relevant issues identified - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1-5 marks



Relevant issues include:

- likely to increase the pay of the lowest paid employees
- the effect on the distribution of income
- the effect on employment and unemployment
- the effects on different types of workers
- the effects in a competitive labour market
- the effects in a non-competitive labour market
- the effect on firms' costs, profits and competitiveness
- the effect on productivity
- the effect on growth
- the effect on motivation, absenteeism and labour turnover
- the effect on inflation
- the effect on competitiveness and the balance of payments
- diagrammatic representation of the likely effects

[15]

